EXECUTIVE REPORT

CDT Equivalence Test — ICOLCAP Portfolio — Second-Month Cutoff

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Cutoff date: October 26, 2026 (62 days / 2.0 months since opening)

Figures calculated with the author's own portfolio-tracking system, using closing prices of August 25, September 25 and October 26, 2026 and the fund's dividend distribution calendar. October 25, 2026 was a Sunday, so the cutoff uses the close of Monday, October 26.

1. Executive Summary

This report answers, for the second time, the same question as the CDT test (a CDT, certificado de depósito a término, is a Colombian fixed-term deposit), with a single-position portfolio: **can a portfolio invested in ICOLCAP —the ETF that tracks the MSCI COLCAP index— deliver, every month, a withdrawal equivalent to the return of a 13% E.A. CDT without affecting the capital disbursed by the investor?** The whole exercise is carried out in Colombian pesos, with no currency conversion. A CDT at that rate pays 1.0237% per month; applied to the reference capital of $315,357,771.28 COP, it equals a target withdrawal of **$3,228,268.42 COP** per month.

Result: **the condition is NOT met at this cutoff**, after having been met at the first one. At the close of October 26, 2026 the portfolio is worth $311,429,945.29 COP, that is, $3,927,825.99 COP (-1.25%) below the reference capital before withdrawing anything. Covering the target would require using all the available cash ($1,944,795.29 COP) and selling 53 units of ICOLCAP; after the withdrawal the portfolio would stand at $308,186,801.87 COP: **$7,170,969.41 COP (-2.27%) below the reference capital**, versus a margin of +$8,882,626.21 COP (+2.82%) at the first cutoff.

The cause is the price: ICOLCAP closed at $24,670 COP, 4.55% below the close of the first cutoff ($25,846) and 0.21% below the purchase price ($24,721). In the second month the portfolio lost $12,810,452.20 COP (-3.95%): -$14,752,920.00 COP from the fall in the price of the 12,545 units held, partly offset by $1,942,467.80 COP in dividends (the payment of $154.84 per unit on October 6). In addition, the first withdrawal ($3,243,143.42 COP) has already left the portfolio, so the margin of the first month does not carry over: the condition is always measured against the value that remains in the portfolio.

Since the condition is not met, no sale or withdrawal is executed this month: the portfolio keeps its 12,545 units and the cash.

2. Assumptions and Methodology

The methodology is the same as in the first report; this section summarizes the assumptions needed to read the figures and points out the changes at this cutoff.

2.1 Capital and Purchase Operation

- **Reference capital:** $315,357,771.28 COP, the same amount used in the CDT test and in the ETF portfolio. It is a fixed ceiling: the fees and the tax on the purchase come out of that amount.
- **Platform and units:** operations are executed on Trii, a Colombian online brokerage that does not allow fractional purchases of ICOLCAP; whole units are bought and the leftover stays as cash in pesos.
- **Purchase price:** $24,721 COP, closing price of August 25, 2026 (opening date).
- **Purchase fee:** 0.25% of the value of the shares plus 19% VAT (IVA, Colombia's value-added tax) (0.2975% effective).
- **4 x 1000 tax (GMF):** Gravamen a los Movimientos Financieros, Colombia's financial transactions tax, a government tax of 0.4% on the value of the shares plus the fee.

2.2 Assumptions Specific to the CDT Test

- **Reference rate:** CDT at 13% E.A. (effective annual); equivalent monthly rate = (1.13)^(1/12) − 1 = 1.0237%.
- **Target amount:** reference capital × monthly rate = $315,357,771.28 × 1.0237% = $3,228,268.42 COP. Each cutoff is measured separately against one month of interest.
- **Order of liquidation:** the available cash is used first (cash held plus dividends received); if it is not enough, the minimum number of whole units of ICOLCAP is sold so that, after the sale fee, the net covers the shortfall. The surplus from unit rounding stays in the portfolio as cash.
- **Sale fee:** for transactions below $5,000,000 COP, Trii charges a flat fee of $12,500 plus 19% VAT ($14,875 COP) and the transaction is exempt from the 4 x 1000 tax. The sale at this cutoff ($1,307,510 COP) is below that threshold.
- **Hard condition:** after the withdrawal, the portfolio value (remaining units at the closing price plus cash) must be greater than or equal to the reference capital ($315,357,771.28 COP). If it is not met, no sale is executed that month.
- **Chaining of the cutoffs (change at this cutoff):** each cutoff starts from the state in which the previous one left the portfolio. Since the condition was met at the first cutoff, the sale of 123 units and the withdrawal were executed: the portfolio starts this period with 12,545 units and $2,327.49 COP in cash. The dividends of the period are only those paid after the previous cutoff and up to October 26, on the units held on the payment day.

- **Dividends:** they are attributed to the issuer's payment date. No withholding tax (retención en la fuente) is assumed, since the amount received is below the dividend-exempt amount for individuals.
- **Data:** the Colombian Stock Exchange (BVC) offers no free library or API to automate queries, so the closing prices (including that of October 26, $24,670 COP) and the dividends per unit were entered manually by the author (issuer's distribution calendar and dividend-per-unit data from Investing.com).
- **Tools:** the calculations, tables and charts were generated with Python, the VS Code platform and the Claude artificial-intelligence assistant; the code was subjected to rigorous review and correction by the author of this report. The code is available to any interested party.

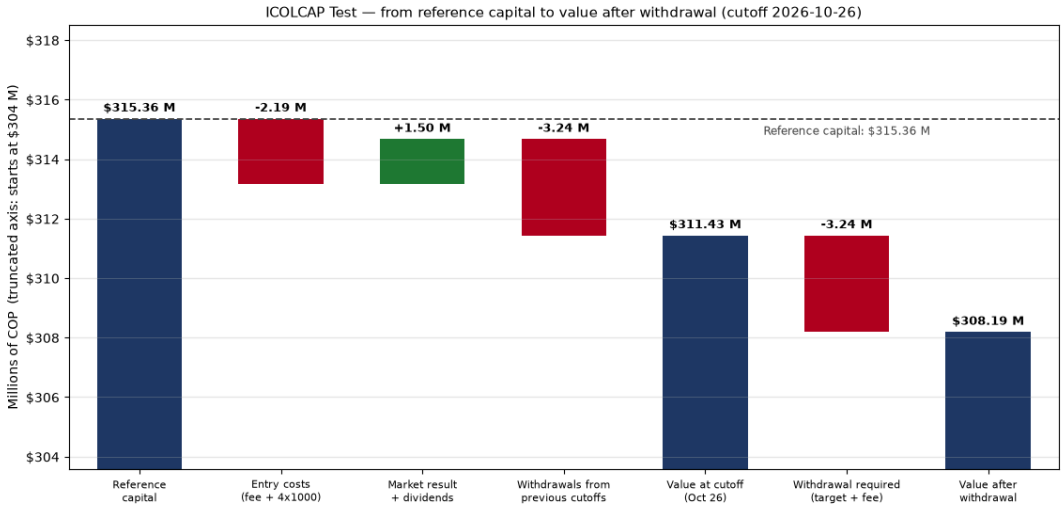
3. Portfolio Opening — August 25, 2026

Unchanged from the first report; it is reproduced so that this document can be read on its own:

Item	Value
Reference capital (ceiling)	$315,357,771.28 COP
Purchase price (close of Aug 25, 2026)	$24,721 COP
Units bought	12,668
Value of the shares	$313,165,628.00 COP
Trii fee (0.25% + VAT 19%)	$931,667.74 COP
4 x 1000 tax (GMF 0.4%)	$1,256,389.18 COP
Total debited	**$315,353,684.93 COP**
Leftover cash	$4,086.35 COP
Entry costs (fee + GMF)	**$2,188,056.93 COP (0.69%)**

4. Result of the CDT Test

The following chart breaks down the path from the reference capital to the portfolio value after the withdrawal. Since money was withdrawn at the first cutoff, the chart includes a bar for the withdrawals from previous cutoffs. It is built from the figures of the test (it is not a daily price series); the axis is truncated to make the differences visible.



4.1 Portfolio State and Target Amount

Item	Value
Position held at the start of the period	12,545 units + $2,327.49 COP
Closing price at cutoff (Oct 26, 2026)	$24,670 COP (-0.21% vs. purchase)
Value of the 12,545 units	$309,485,150.00 COP
Cash (held + dividends of the period)	$1,944,795.29 COP
Total portfolio value at cutoff	**$311,429,945.29 COP**
Net return on the reference capital	-1.25%
Withdrawals from previous cutoffs	$3,243,143.42 COP
Net return including those withdrawals (context)	-0.22%
Return before entry costs (context only)	+0.48%
Monthly CDT rate (13% E.A.)	1.0237%
Target amount for the month	**$3,228,268.42 COP**

4.2 Settlement (calculated; not executed)

Item	Value
Cash used for the target	$1,944,795.29 COP
Shortfall to cover with a sale	$1,283,473.13 COP
ICOLCAP units to sell	53 at $24,670
Gross sale	$1,307,510.00 COP
Sale fee ($12,500 + VAT 19%)	-$14,875.00 COP
Net from the sale	$1,292,635.00 COP
Delivered to the investor	**$3,228,268.42 COP**
Difference versus the target	$0.00
Cash that would remain in the portfolio (unit rounding)	$9,161.87 COP

4.3 Verification of the Hard Condition

Item	Value
Portfolio value at cutoff (before the withdrawal)	$311,429,945.29 COP
Total withdrawal required (target + sale fee)	-$3,243,143.42 COP
Remaining units	12,492
Portfolio value after the withdrawal	$308,186,801.87 COP
Reference capital (threshold)	$315,357,771.28 COP
Margin versus the threshold	**-$7,170,969.41 COP (-2.27%)**
Is the capital preserved?	**NOT MET**

4.4 Comparison with the First Cutoff

Item	Cutoff 1 (Sep 25, 2026)	Cutoff 2 (Oct 26, 2026)
Closing price	$25,846	$24,670
Units at the start of the period	12,668	12,545
Dividends of the period	$62,326.56	$1,942,467.80
Value before the withdrawal	$327,483,540.91	$311,429,945.29
Cash used for the target	$66,412.91	$1,944,795.29
Units to sell	123	53
Value after the withdrawal	$324,240,397.49	$308,186,801.87

Item	Cutoff 1 (Sep 25, 2026)	Cutoff 2 (Oct 26, 2026)
Margin versus the threshold	+$8,882,626.21 (+2.82%)	-$7,170,969.41 (-2.27%)
Result	MET	NOT MET

Since the condition is not met, the settlement is not executed: the portfolio keeps the 12,545 units and the cash until the next evaluation.

5. Dividends

Dividends are attributed to the issuer's payment date and to the units held by the portfolio that day. In the second month the payment corresponding to the record date of September 30 was received, already on the 12,545 units that remained after the sale at the first cutoff:

Payment date	Div. per unit	Units	Amount (COP)
2026-09-04 (first cutoff)	$4.92	12,668	$62,326.56
2026-10-06 (this cutoff)	$154.84	12,545	$1,942,467.80
CUMULATIVE TOTAL			**$2,004,794.36**

The dividend of this cutoff alone covers 60.2% of the monthly target; at the first cutoff the available cash covered only 2.1%. Payments are irregular from month to month ($4.92 and $154.84 per unit), so this effect should not be assumed to repeat. As of today there are no later payments recorded in the system.

6. Analysis: Why Does the Condition Stop Being Met?

6.1 Where the Gap Comes From

The portfolio value is rebuilt from the reference capital as follows:

- Entry costs: -$2,188,056.93 COP (0.69% of the capital).
- Cumulative market result and dividends: +$1,503,374.36 COP. It consists of +$14,313,826.56 COP in the first month and -$12,810,452.20 COP in the second.
- Withdrawal of the first cutoff: -$3,243,143.42 COP (target $3,228,268.42 plus sale fee $14,875).
- **Value at cutoff:** $311,429,945.29 COP (-1.25% versus the reference capital).
- Withdrawal required at this cutoff: -$3,243,143.42 COP.
- **Value after the withdrawal:** $308,186,801.87 COP, that is, $7,170,969.41 COP below the threshold.

In the first month the market delivered more than four times the withdrawal; in the second it gave back almost all of it. Since the withdrawal of the first month has already left the portfolio, the appreciation of that month stopped being a cushion.

6.2 The Price Decline

ICOLCAP went from $25,846 to $24,670 COP (-4.55%). Part of that decline is mechanical: with the ex-dividend date of September 29 (according to Investing.com) the price adjusts by roughly the value of the dividend, about $155 of the $1,176 COP per unit lost (0.6%); that amount was received in cash on October 6. For that reason the portfolio's loss in the month (-3.95%) is smaller than the fall in the price. The close of October 26 also coincided with the session after the presidential runoff in Brazil, in which the COLCAP index fell 1.38% (context and sources in the ETF report of the same cutoff). The sources consulted do not allow the rest of the month's decline to be attributed to a specific cause.

6.3 How Far the Condition Was Missed

With the same 12,545 units, the same cash and the same costs, the hard condition would be met if the closing price at cutoff had been at least about $25,242 COP. That threshold sits 2.11% above the purchase price ($24,721) and 2.32% above the observed close ($24,670). The threshold rose compared with the first cutoff (about $25,145 COP) because that month's withdrawal reduced the cushion: each month that money is withdrawn, the price needed to comply goes up.

6.4 The Withdrawal and the Units

Thanks to the dividend, the withdrawal at this cutoff would be financed by selling only 53 units (0.42% of the 12,545), versus 123 (0.97%) at the first cutoff. But the effect is one-off: without relevant dividends, the monthly withdrawal is financed by selling units and therefore depends on the price appreciation.

6.5 Comparison with the Other Tests

At the first cutoff the ICOLCAP portfolio met the condition and the ETF portfolio did not; at this one, neither does. Measured after the withdrawal, the ETF portfolio ends 3.61% below its disbursed capital (in dollars) and the ICOLCAP portfolio 2.27% below the reference capital (in pesos). The currencies are different: the ETF portfolio is exposed to the exchange rate and the ICOLCAP portfolio is not, so this should not be read as a direct comparison of management but as two answers to the same question under different conditions. For the investor, the total result to date —the portfolio value plus what has already been withdrawn— is -0.22% on the reference capital, versus about 2.05% that two months of CDT would have paid (about $6.46 million COP, without reinvestment).

6.6 Scope and Limitations

- Two months do not allow conclusions about the viability of the strategy in the long run.
- Prices and dividends were entered manually; no withholding tax was applied to dividends.
- For sales of $5 million COP or more, application of the 4 x 1000 is not confirmed; with the CDT target that amount is not reached (the sale at this cutoff would be $1.3 million).

7. Next Steps

- Do not execute any sale or withdrawal this month. The portfolio keeps 12,545 units and $1,944,795.29 COP in cash (which includes the dividend received).
- Carry out the next evaluation with the close of Wednesday, November 25, 2026 (a market business day), against one month of interest ($3,228,268.42 COP), starting from the state currently held.
- Keep the explicit record of fees, cash and dividends at each cutoff, using the same methodology as this report.
- Verify the closing prices entered by hand against the source at each evaluation, since the system does not obtain them automatically.